

\$16 million. Bengaluru-based Kenko Health, another health-tech start-up, raised \$12 million as part of its Series-A funding round, led by Sequoia Capital India. Another Bengaluru-based employee benefits and InsurTech platform, Pazcare, too recently announced that it has raised \$3.5 million as part of its seed round, which was led by BEENEXT. Similarly, Plum, which offers easier and affordable corporate group health plans, raised \$15.6 million in its Series-A funding round, led by Tiger Global.

Most of these start-ups are active in the group health insurance space, as Covid-19 has awakened the untapped SME market. “Whenever a new idea catches the fancy [of the market], you have many people flocking to that idea. So yes, currently there is a lot of traction for the idea around group health, especially those being sold to smaller companies who are not at all being targeted. Some of the group health [market] was in the domain of large brokers, and for them it wasn’t very efficient to go down the ladder and cater to companies that have 10-20 employees,” says Shanai Ghosh, Executive Director and CEO, Edelweiss General Insurance.

The reasons for a surge in insurance start-ups can also be attributed to the fact that segments such as health and life are underpenetrated. Moreover, customer preferences are continuously evolving with growing digital adoption. “Technology advancements such as Internet of Things, Big Data analytics, etc., are enabling innovation across the insurance value chain. Globally, nine InsurTech unicorns have emerged, with Policybazaar, Digit and Acko from India entering the exclusive club. In India, funding has seen an increase from a modest base of \$11 million in 2016 to \$287 million in 2020,” says Prerak Sethi, Co-founder of India InsurTech Association (IIA), a not-for-profit industry organisation building collaboration between start-ups and other insurance industry participants.

THE ROAD AHEAD FOR INSURANCE

WHAT THE WORLD OF INSURANCE COULD LOOK LIKE IN A FEW YEARS’ TIME

1

Digital intermediaries will help insurers leverage data and analytics capabilities in new ways

2

As insurers gather enough feedback and data points, there is potential for end-to-end AI-enabled claim settlement in motor insurance

3

Moment-based insurance covers will be widely used as people don’t want to be locked in for longer durations

4

Instant claim settlements will be for specific types of policies and not issued for all

5

Insurance will move from ‘detect and repair’ to ‘predict and prevent’

FASTER CLAIM SERVICES

The true test of an insurance company is in how good or bad it is at the time of servicing claims. Realising that it can make or break an insurance company, many insurers have started using artificial intelligence (AI) and machine learning (ML) for a seamless claim settlement experience.

Insurers such as ICICI Lombard, Digit General Insurance and Edelweiss General Insurance have developed an AI-enabled car inspection feature embedded in their mobile apps, which allows customers to buy or renew policies anytime. While some are using it for renewing lapsed policies, some others are also using it for fully automated claim settlements without human intervention.

Munch this: ICICI Lombard’s customers use the insurance provider’s in-app feature to take and upload photographs of their car damage. After the photos are uploaded, an AI tool embedded in the app analyses the photos in the background and generates a list of needed repairable and replaceable parts, along with their associated costs. These are also parallelly investigated by the claims team, which also helps in the simultaneous training of their AI models. Most importantly, the app quickly suggests an estimated repair cost using historical data. The tech-enabled process has reduced the turnaround time, but the complete process is not fully automated yet.

“We are currently running our AI/ML models in parallel, till we are sufficiently confident of being able to fully automate the claims process. Considering that there are technicalities in the assessment [process], there are always chances of under or over insurance while settling claims using AI and ML. In future, as we gather enough feedback, [data] and confidence, there is a full potential of end-to-end AI-enabled claim settlement in motor insurance. We are, however, currently offering end-to-end cashless claim settlement in health insurance policies for certain segments,” says San-